Before the Public Service Commission

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

The Revenue Requirements Panel

Case 19-G-0310

September 18, 2019

Case 19-G-0310

Rebuttal Testimony of the Revenue Requirements Panel

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Rebuttal Testimony of the Revenue Requirements Panel

I. Introduction

Q. Please introduce the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Is this the same Panel that previously submitted direct, supplemental, and corrections and updates testimony in this proceeding?

A. Yes. The terms defined in the Panel's direct testimony have the same definitions here.

Q. What is the purpose of the Panel's rebuttal testimony?

A. The Panel responds to various adjustments proposed by Staff and intervenors in their direct testimonies dated August 30, 2019. In particular, the Panel addresses the following subjects: (i) proposed revenue adjustments; (ii) proposed O&M expense adjustments; (iii) regulatory deferrals; (iv) proposed adjustments to taxes other than income taxes; (v) rate base adjustments; (vi) federal income tax adjustments; and (vii) proposed changes to depreciation. In addition, the Panel addresses adjustments proposed by Staff that the Company previously agreed to adopt in information request ("IR") responses or agrees to adopt in rebuttal, and also addresses corrections to Staff's exhibits and testimony

that the Company has identified.

Q. Does the Company respond to each of Staff's and the intervenors' proposed adjustments and recommendations?

A. No. In this testimony, as well as the rebuttal testimony of the other Company witnesses, the Company is only responding to certain issues. Where the Company accepts an adjustment or agrees with an issue, such acceptance or agreement is explicitly acknowledged. The Company's silence on a particular adjustment or recommendation should not be construed as acceptance or waiver of a particular issue or as creating precedent for any future proceeding. The Company relies on its direct, supplemental, and corrections and updates testimonies as support and justification for those items not specifically addressed in its rebuttal testimony.

Q. How has the Panel organized its rebuttal testimony?

A. The rebuttal testimony addresses proposed adjustments following the general order the adjustments are presented in the Staff Revenue Requirements Panel's ("SRRP") Exhibit __ (SRRP-1), Schedules 7a through 7c.

Q. Does the Panel sponsor any exhibits?

A. Yes. The Panel sponsors the following exhibits that were prepared by or under the supervision and direction of one or all members of the Panel and that, in all cases, refer to KEDLI.

Exhibit ___ (RRP-1R)	Summary Revenue Requirements Pages
Exhibit ___ (RRP-2R)	Net Utility Plant and Depreciation Expense
Exhibit ___ (RRP-3R)	Relevant Portions of Company IR Responses
Exhibit ___ (RRP-4R)	Staff IR Responses

Q. In rebuttal, the Panel references various IR responses. Where can those responses be found?

A. The Company's IR responses referenced by the Panel have been compiled in Exhibit ___ (RRP-3R) except for those responses included as exhibits to Staff's direct testimony. Because of the size of some of the responses, the Company included only relevant pages and attachments. Staff's responses to Company IRs referenced herein have been compiled in Exhibit ___ (RRP-4R).

II. <u>Overall Revenue Requirement</u>

Q. Is the Company proposing any changes to the revenue requirement in this filing?

A. Yes. The Company's corrections and updates filing reflected a revenue requirement of $61.2 million. Based on the Company's review of the direct testimony filed by Staff and the intervenors, as well as discovery submitted since the time of the corrections and updates filing, the Company has accepted several adjustments and reflected certain updates to the revenue requirement. Exhibit ___ (RRP-1R) sets forth the Company's position on each of the adjustments proposed by Staff.

In addition, the revenue requirement reflected in the corrections and updates filing assumed the NESE project would be completed by the winter of 2020/2021. In this rebuttal filing, the Company adjusted the revenue requirement to assume the NESE project will not be completed within that timeframe. Specifically, the Company includes adjustments that were identified in its supplemental filing, which the Staff Revenue Requirements Panel ("SRRP") reflected in Exhibit ___ (SRRP-1), Schedule 7a, together with certain other adjustments (*e.g.,* an updated revenue forecast and updates/corrections discussed by the Company's GIOP). In principle, the Company agrees with the need for the additional no-NESE project adjustments reflected by the SRRP in Exhibit ___

(SRRP-2), Schedule 7b, but disagrees with the calculation of some of those adjustments. In addition, the Company disagrees with the adjustment to Other Initiatives listed in that schedule, as discussed by the Future of Heat Panel. The Company included the agreed adjustments in the revenue requirement. Any disagreement is discussed below.

Q. What is the updated Rate Year revenue requirement?

A. The updated revenue requirement is $66.523 million.

Q. Does the Panel have any general comments regarding the adjustments proposed by Staff to the revenue requirement?

A. Yes. It is important for the Commission to recognize that, in total, the adjustments and proposals made by Staff, if adopted, would provide a level of rate relief that would not provide the Company with the revenues needed to provide safe and reliable service to customers, earn a reasonable return on its investment, continue to attract capital on commercially reasonable terms, and deliver on the Commission and State's clean energy goals. Staff proposes a return on equity of 8.2 percent, which would be the lowest ROE approved for a gas distribution utility in the United States. Moreover, although Staff says throughout its testimony that the Company should invest at levels the Company deems appropriate, Staff's proposals

effectively deny the Company funding for programs and investments it believes are critical to advancing safety and reliability. Indeed, in many cases, Staff's proposals would require the Company to absorb material costs of doing business. Specific examples include:

- *Information Technology*. A disallowance of $114.4 million of the Company's projected capital IT investments that must be incurred to modernize the Company's aging infrastructure and enable key customer and operations programs.
- *GBE* Program. A disallowance of more than $57 million in costs that will need to be incurred for the benefit of customers to progress the project, which is needed to build a modern platform that enhances safety and supports customer demands.
- *Unidentified Savings*. An adjustment to impute more than $3 million in incremental, unidentified savings on top of the more than $15 million in savings already reflected in the Rate Year.
- *Future of Heat*. Virtually no funding for the Company's Future of Heat programs, which are designed to advance cost-effective, reliable, heating sources that help reduce carbon emissions on the gas network.

In addition to proposing significant disallowances of costs that the

Company will need to incur in the Rate Year, Staff also proposes a series of downward-only true-ups for costs associated with full-time equivalents, Service Company IT rent expense, GBE, and credit cards. At the same time, Staff rejects the limited true-ups sought by the Company for costs over which it has no limited control such as property taxes. The proposed downward only true-ups effectively preclude the Company from retaining efficiencies found to offset the costs that Staff proposes to disallow and thus achieve the additional productivity that Staff proposes to impute. On top of this, Staff proposes to modify the Company's performance metrics substantially, adding more stringent targets, but not providing funding to meet these new targets. These proposals effectively result in a further disallowance of costs by increasing the likelihood that the Company will incur negative revenue adjustments.

The combined effect of all of Staff's adjustments is that the Company would be saddled with the lowest ROE authorized in recent years for a gas utility and, at the same time, effectively precluded from earning it. This end-result is unreasonable and unjustified and creates grave concern as to whether the Company will be able to continue to attract necessary capital on commercially reasonable terms in an environment in which the Company is facing increased opposition to any sales growth in its business

and is experiencing a supply constraint that, along with Staff's proposals in this filing, is effectively foreclosing it from pursuing current growth opportunities.

Over the term of its current rate plan, the Company has invested billions of dollars in its gas distribution network to support safe operations, met and exceeded all customer and gas performance metrics, and improved its compliance performance year over year. In that same time period, the regulatory landscape has seen significant changes that will likely have material impacts on the Company's costs and programs going forward. The proposed rate plan was designed to address in a balanced manner issues raised by Staff and other stakeholders and take important step changes necessary to lead the transition to New York's energy future. As discussed herein, as well as through the Company's direct and rebuttal testimonies, the recommendations advanced by Staff in this proceeding would not achieve a similar result.

III. Operating Revenues Adjustments

Q. Please summarize Staff's proposed adjustments to Operating Revenues.

A. Staff proposed two adjustments to Operating Revenues that are reflected

in Exhibit __ (SRRP-1), Schedules 7a and 7b. The first adjustment was made to reduce Operating Revenues to reflect the unavailability of the NESE project. The second adjustment was made to reflect the Company's latest sales forecast. Although the Company agrees these adjustments are required, the Company does not agree with Staff's calculations of the adjustments. The rebuttal testimony of the Company's Rate Design Panel provides the corrected calculations.

IV. O&M Expense Adjustments

Q. Please summarize Staff's proposed adjustments to O&M expense.

A. Staff's proposed adjustments to O&M expense are shown in Exhibit ___ (SRRP-1), Schedules 7a, 7b, and 7c.

A. Consultants

Q. Does Staff make any adjustments to consultants expense?

A. Yes. The SRRP proposes to disallow $0.714 million in costs associated with work performed by a consultant, AlixPartners LLP, in the Historic Test Year. The basis for the adjustment is the SRRP's belief that these charges will not recur in the Rate Year.

Q. Does the Company agree with Staff's proposed disallowance?

A. No. As explained in the response to IR DPS-807, the Company uses

consultants like AlixPartners LLP to provide services aimed at ensuring the efficient delivery of the IT portfolio. While the SRRP contends that "it is not reasonable" for the Company to use a consultant to perform this type of work again in the Rate Year (at 15-16), the Company submits that it would be unreasonable and imprudent if it did not. The IT portfolio is ever-changing to keep pace with evolving customer and stakeholder needs. The Company will continue to engage the services of consultants like AlixPartners LLP to look proactively for ways to maintain existing efficiencies and ensure the effective operation of the portfolio. Such work would be expected of any major company with an IT portfolio as large as the Company's – especially given the potential benefits that could accrue to customers from this work. Therefore, these costs are fully expected to recur in the Rate Year and should not be adjusted from the cost of service.

Q. In support of its position, the SRRP contends (at 16-17) that individual work performed by AlixPartners LLP such as work to refresh the Company's IT strategy will not recur because the Company has already undertaken this work. Does the Company agree with the SRRP's position?

A. No. The SRRP's view of what constitutes recurring work is too narrowly focused. This is just one item under a broad category of work that is done

to manage the IT portfolio. Although this specific item may not recur every year, that does not mean that other work to evaluate and assess the IT portfolio will not recur. For instance, work to assist with contract negotiations, work to analyze system investments, and benchmarking with other organizations is all work that consultants such as AlixPartners LLP provide and will continue to provide in the Rate Year.

Q. Is there an additional reason why the SRRP's adjustment should be rejected?

A. Yes. As explained in the response to IRs DPS-931 and DPS-933, the work performed by AlixPartners LLP resulted in annual run rate savings of $22.1 million, of which $16.6 million is reflected in the revenue requirement in the Rate Year and Data Years. Therefore, customers received a significant benefit from the very work for which the SRRP seeks to disallow cost recovery. This further shows the unreasonableness of the SRRP's proposed adjustment.

B. <u>Other Expense</u>

Q. Please summarize Staff's adjustments to other expense.

A. The Staff Accounting Panel ("SAP") makes one adjustment to remove $1.153 million in costs associated with vendor PSEG Long Island LLC.

Q. Does the Company agree with the adjustment?

A. The Company agrees with the need for the adjustment but disagrees slightly with the amount. The correct amount of the adjustment should be $1.131 million, as reflected in the response to IR DPS-833 Supplemental.

C. Service Company Rent Expense

Q. Does Staff make any adjustments to Service Company rent expense?

A. Yes. The Staff Information Technology Panel ("SITP") proposes four adjustments to Service Company rent expense.

Q. Please describe the SITP's first adjustment.

A. The SITP proposes to remove the costs associated with the Community Distributed Generation Low Income Bill Discount program.

Q. Does the Company agree with the SITP's proposal?

A. The Company acknowledged in response to IR DPS-620 that the costs of the project should be removed. However, as explained in the rebuttal testimony of the Company's IT Panel, there is an error in the SITP's calculation of the adjustment.

Q. Please describe the SITP's second adjustment.

A. Staff recommends an adjustment of $2.805 million to Rate Year Service Company rent expense to reflect its reduction of the Service Company return on assets rate from 8.52 percent to 7.54 percent.

Q. Does the Company agree with the SITP adjustment?

A. In principle, the Company agrees that, for ratemaking purposes, the ROE for the Service Company asset recovery should match KEDLI's ROE. Because the Company's position on KEDLI's ROE differs from Staff's, the Company is setting the Service Company ROE to match KEDLI's ROE as supported by Company Witness Bulkley.

Q. Did the SITP have any other adjustments to the return used for the Service Company asset recovery?

A. Yes, the SITP adjusted the Service Company debt rates to match those used to calculate KEDLI's rate of return.

Q. Does the Company agree with the SITP's debt adjustment?

A. No. The Service Company has its own debt, which should be the basis for setting the return for the Service Company asset recovery. Company

Witness Jonathan Cohen addresses this adjustment in his rebuttal testimony.

Q. Please describe the SITP's third adjustment.

A. The SITP proposes to disallow capital expenditures of $57.4 million associated with the GBE Program. This adjustment results in a $1.526 million reduction to the revenue requirement.

Q. Does the Company agree with this adjustment?

A. No. As discussed in the rebuttal testimony of Company Christopher Connolly, the Company disagrees with this adjustment.

Q. Please describe the SITP's fourth adjustment.

A. The SITP recommends a forecasting adjustment to the Company's IT capital expenditures, resulting in a reduction to the revenue requirement of $2.988 million.

Q. Does the Company agree with this adjustment?

A. No. The Company's IT Panel responds to this adjustment in its rebuttal testimony. Additionally, the IT Panel explains the errors it identified in the SITP's calculation of the adjustment.

Q. Did Staff make any other recommendations that would affect the Company's Service Company rent expense?

A. Yes. The SITP proposes a downward only Service Company Rents IT and GBE Program capital tracker. The rebuttal testimony of the Company's IT Panel and Company Witness Christopher Connolly respond to this recommendation.

D. <u>Labor Expense</u>

Q. Please summarize Staff's adjustments to labor expense.

A. Staff recommends two adjustments to labor expense.

Q. What is the first adjustment recommended by Staff?

A. Staff Witness Gadomski (at 17) proposes reducing the Company's management wage increase of 3.35 percent (which was implemented on July 1, 2019) and the projected wage increase of 3.1 percent for subsequent years to 3.0 percent. The adjustment deceases the Company's labor expense forecast by $0.167 million.

Q. Does the Company agree with Mr. Gadomski's proposed adjustment?

A. No. As indicated in the rebuttal testimony of Company Witness Heaphy,

the Company does not agree with Mr. Gadomski's testimony on this issue and does not accept the proposed adjustment.

Q. Please explain Staff's second adjustment to labor expense.

A. The SRRP proposes (at 24-29) imputing a vacancy rate to the Company's labor forecast of KEDLI employees based on their assumption that the Company's forecast does not account for vacancies. The SRRP developed their vacancy rate of 8.20 percent by dividing the number of unfilled positions within KEDLI by the targeted employee level for that company. The SRRP's adjustment was specific to FTEs who directly charge time to KEDLI and did not include Service Company employees whose time is allocated to KEDLI. The adjustment reduces the Company's Rate Year labor expense forecast by an additional $3.229 million.

Q. Does the Company agree with the SRRP's application of a vacancy rate to the labor expense forecast?

A. No. To develop the labor forecast, the Company used adjusted headcounts for KEDLI and the Service Company as of December 31, 2018 (the end of the Historic Test Year). The December 31st headcounts only included positions *actually filled* by employees as of that date. It did not include positions that were open or vacant at that time, even though such positions

existed.

Table 1 below depicts open positions (those positions approved to be filled) and positions pending approval at calendar-year end 2018 for all National Grid companies, including KEDLI and employees that may allocate or directly charge time to the Company. None of these vacancies were included in the Company's labor forecast. Therefore, the SRRP's assumption that the Company's labor forecast does not account for vacancies is incorrect. Indeed, the Company's forecast does assume that vacancies as of December 31, 2018 will continue to occur in the Rate Year just in a different manner than the SRRP proposes. Rather than applying a separate vacancy rate to the forecast, the Company entirely removed any actual vacancies from the labor forecast. In doing so, the Company bears the financial risk of vacancies that were not included in the headcount but may be filled after the end of the Historic Test Year. As such, application of a vacancy rate to the previously reduced labor expense forecast is a double count of vacant positions.

Table 1 – National Grid Open Positions as of CYE 2018

Designated Company for Position (Management)	Open	Pending Approval	Total Open Positions
Service Company	438	162	600
KeySpan Gas East Corporation	5	3	8
The Brooklyn Union Gas Company	8	1	9
All other Companies	16	7	23
Total Positions	467	173	640

Designated Company for Position (Represented)	Open	Pending Approval	Total Open Positions
Service Company	124	6	130
KeySpan Gas East Corporation	4	9	13
The Brooklyn Union Gas Company	58	1	59
All other Companies	169	66	235
Total Positions	355	82	437

Q. Was it appropriate for the SRRP to exclude Service Company employees from its vacancy analysis?

A. No. Table 2 below compares the headcounts approved in the 2016 KEDNY and KEDLI Rate Cases, which were based on headcounts as of September 30, 2015, to the December 31st headcounts used by the Company for the labor forecast in the current rate filing.

Table 2 – Headcount 2016 Rate Cases vs. December 31, 2018 Headcount

	KEDLI	KEDNY	Service Co.
Headcounts Approved in 2016 Rate Cases			
Management	142	189	4,033
Union	626	1,328	1,563
Total	768	1,517	5,596
Headcounts as of December 31, 2018			
Management	74	120	5,307
Union	631	1,349	1,595
Total	705	1,469	6,902
Variance (December 2018 vs September 2015)			
Management	(68)	(69)	1,274
Union	5	21	32
Total	(63)	(48)	1,306

While the Company agrees with the SRRP that there were less KEDLI employees in 2018 than requested and filled in the 2016 KEDNY and KEDLI Rate Cases, the same cannot be said for Service Company employees. Indeed, Table 2 shows there were more Service Company employees who may allocate their time or a portion of their time to KEDLI, as of December 31, 2018, than were included in the 2016 KEDNY and KEDLI Rate Cases. In addition, the Service Company variance between those years is significantly higher than the variance for KEDLI employees during that same period.

Q. Is the methodology to forecast labor expense in this case consistent with the methodology previously utilized in past KEDNY, KEDLI, and Niagara Mohawk rate cases?

A. Yes. The labor expense forecast methodology used in this case is the same methodology used in the 2016 KEDNY and KEDLI Rate Case, the 2017 Niagara Mohawk Rate Case, and the 2012 Niagara Mohawk Rate Case. In those cases, Staff accepted the methodologies without applying a vacancy rate adjustment. No adjustment should be applied in this case either.

Q. Is there an additional reason why the SRRP's adjustment should be rejected?

A. Yes. In IR NG-07, the Company asked Staff to confirm if it was their position that vacancies were not included in the Company's December 31, 2018 headcounts. Staff replied, among other things, that the Company did not apply a vacancy rate for the projected incremental FTEs.

Q. Why is the reference to incremental FTEs significant?

A. Because it further demonstrates the unreasonableness of the SRRP's adjustment. The incremental FTEs proposed by the Company were forecast based on the incremental work required in the Rate Year.

Application of a vacancy rate to incremental FTEs, as the SRRP asserts, is illogical as it results in an insufficient number of FTE needed to perform the incremental work, the majority of which is dedicated to gas safety programs.

E. Transportation Expense

Q. Please describe the SRRP's proposed adjustment to the Company's forecast of transportation expense.

A. The SRRP proposes (at 42) a downward adjustment of $0.559 million to the lease component of transportation expense. The adjustment is based on the SRRP's belief that the Rate Year costs are "excessive" because the Company forecasts replacing 163 more vehicles from the end of the Historic Test Year through the end of the Rate Year than it had during the prior three-year period.

Q. Does the Company agree with the SRRP's adjustment?

A. No. The Company's forecast of replacement vehicles is based on a detailed fleet plan that carefully considers the type of vehicle, the age of the vehicle, maintenance history, and work for which the vehicle is utilized to develop a projected replacement date for each vehicle.

In KEDLI's last rate proceeding, Staff proposed an adjustment of $0.939 million in transportation lease expense, which was reflected in the Joint Proposal adopted by the Commission. To manage its vehicle replacements within this rate allowance, the Company modified its vehicle replacement schedule to stretch out the lifecycle of certain vehicles. This adjustment increased the average age of vehicles that are needed to provide service to the Company's customers and help maintain and operate the gas network. The Company estimates that the replacement of approximately 96 vehicles, calculated by dividing the $0.939 million lease expense adjustment from the previous rate case by the $9,831 average per vehicle cost calculated by Staff in Exhibit ___ (SRRP-4), were delayed by this adjustment and therefore included in the forecast of replacements in this case.

Q. The SRRP asserts (at 39) that because the Company has in the past utilized vehicles with expired lease dates it is "inappropriate" to assume that vehicles with expiring leases will be replaced in the Rate Year. Is this a fair assumption?

A. No. The lease end date is based on the expected lifecycle of each vehicle. While the timing of replacements varies depending on the specific conditions of the vehicles (*e.g.,* depending on the performance or usage of

the vehicle, the asset life may fall short of or exceed the planned lifecycle), in general each vehicle with a lease term that has expired should be replaced to ensure reliable fleet operations.

While the Company was able to increase the average age of its fleet over the past three years to stay within the budgeted rate allowance without unduly compromising reliability, this cannot continue indefinitely if the Company hopes to maintain a reliable vehicle fleet. The Company needs to replace more vehicles than it has in the past three years to restore the reliability of the vehicle fleet to its optimal level. The Company does not believe that deviating from the planned lifecycle replacement is reasonable or in the best interests of customers, as it will lead to higher maintenance costs and potentially compromise the integrity of the Company's vehicle fleet. Moreover, the SRRP has submitted no evidence that rebuts or contradicts the reasonableness of the Company's replacement schedule, and instead unreasonably substitutes its own judgement in place of the Company's fleet plan. For these reasons, the SRRP's adjustment should be rejected.

Q. Are there any adjustments that were not reflected by the SRRP but should be?

A. Yes. In the response to IR DPS-661, the Company identified a downward adjustment of $0.372 million related to fuel expense. After adjusting for inflation, the Company reflected a Rate Year adjustment of $0.387 million in its updated revenue requirement on Exhibit ___ (RRP-1R).

F. Other Initiatives

Q. Does Staff recommend adjustments to other initiatives?

A. Yes. Staff recommends a total of 26 adjustments to other initiatives expense. For purposes of clarity, the Panel grouped the adjustments into categories.

Future of Heat

Q. Please summarize Staff's adjustments related to the Company's Future of Heat proposals.

A. Staff proposes 12 adjustments related to the Company's Future of Heat proposals. *See* Adjustment Nos. 16(f)(4), (6)-(7), (11)-(13), (15), (17)-(19), and (21) to Exhibit ___ (SRRP-1), Schedule 7c and Adjustment No. 12(a) on Schedule 7b of that exhibit. The adjustments include: (i) removing the costs of the Hydrogen Blending Study, the Expanded Geothermal Pilot, and the Power to Gas programs; (ii) reducing the number of incremental FTEs needed for the Green Gas Tariff, Demand

Response, Geothermal, Utility Energy Services Contract ("UESC"), and Renewable Natural Gas and Non-Pipeline Alternative programs; (iii) disallowing a portion of the costs of the Fuel Switching Calculator program; (iv) reflecting the costs of the UESC program in the ETIP instead of base rates; (v) removing EM&V costs; and (vi) moving recovery of the non-labor costs of the Demand Response program from base rates to the Delivery Rate Adjustment surcharge.

Q. Does the Company agree with these adjustments?

A. No. The rebuttal testimony of the Future of Heat and Rate Design Panels discuss the Company's objections to these adjustments.

GIOP and Gas Safety

Q. Please summarize Staff's adjustments related to programs supported by the Company's GIOP and Gas Safety Panels.

A. Staff proposes nine adjustments related to programs supported by the Company's GIOP and Gas Safety Panels. *See* Adjustment Nos. 16(f)(1)-(2), (5), (8)-(9), (14), (16), (20), and (23) to Exhibit ___ (SRRP-1), Schedule 7c. The adjustments include: (i) reducing the number of incremental FTEs required to support the Company's Contractor Safety Inspection, Enhanced Methane Detection, Research and Development,

Storm Hardening, and Integrity Management and Verification programs; (ii) moving the costs of the Storm Hardening beyond the Rate Year; (iii) disallowing costs associated with the Pipeline Integrity – Integrity Management Program (PHMSA Rules); and (iv) moving the costs of the Low-Pressure Main Valve Installation program from the capital program to O&M expense and offsetting those costs with a portion of the existing negative revenue adjustment balance.

Q. Does the Company agree with Staff's adjustments?

A. As explained in the rebuttal testimony of the GIOP and Gas Safety Panels, the Company disagrees with thee adjustments.

Q. Does the Company agree with Staff's recommendation to use a portion of the existing negative revenue adjustments to fund the costs of certain safety programs?

A. In principle, while the Company is not against using the existing negative revenue adjustments to fund safety programs, the Company is concerned about how much of the balance should be used. The Company's position related to amortization of regulatory deferrals is discussed in more detail below. In addition, the Gas Safety Panel discusses the Company's opposition to using negative revenue adjustments to fund the costs of the

Low-Pressure Main Valve Installation program.

IT

Q. Please summarize Staff's adjustments related to IT costs.

A. Staff proposes two adjustments. The first adjustment relates to the O&M and run the business costs associated with the SITP's forecasting adjustment to the Company's IT capital expenditures. The second adjustment removes the operating costs associated with the Company's Customer Information System project. *See* Adjustment Nos. 16(f)(22) and (24) to Exhibit ___ (SRRP-1), Schedule 7c.

Q. Does the Company agree with Staff's adjustments?

A. No. The Company's objection to these adjustments is discussed in the rebuttal testimony of the IT Panel.

Flow-Through Adjustments

Q. Please summarize Staff's flow-through adjustments to other initiatives expense

A. The SRRP reflects two flow-through adjustments related to Mr. Gadomski's proposed management wage increase factor and use of the SRRP's labor burden rates. *See* Adjustment Nos. 16(f)(3) and (10) to

Exhibit ___ (SRRP-1), Schedule 7c.

Q. What is the Company's position with respect to these flow-through adjustments?

A. While the Company agrees in principle that flow-through adjustments would be required if the Commission were to adopt the Staff's proposals, because the Company disagrees with the underlying adjustments, the Company's position is that the proposed flow-through adjustments, with the exception of the update to burden rates as stated in the Company's response to IR DPS-877, are not necessary.

New Hire True-Up

Q. Does the Company agree with the SRRP's proposed downward-only tracker for incremental FTEs (at 47-48)?

A. No. There is no basis for a downward-only true up of labor expense, especially in a one-year case. The new hire true-up was agreed to as part of the comprehensive settlement in the 2016 KEDNY and KEDLI Rate Cases. A similar reconciliation was not included in the 2017 NMPC Rate Case.

G. Productivity

Q. Does the Company agree with Staff's adjustment to productivity?

A. The Company agrees that productivity should be adjusted to reflect the labor adjustments adopted in this proceeding. Staff's adjustment, however, reflects labor adjustments that the Company disagrees with, as discussed above.

H. Uncollectible Accounts

Q. Does Staff make any adjustments to the Company's forecast of uncollectible expenses?

A. Yes. The SAP recommends (at 6) an adjustment of $0.319 million to reduce Rate Year uncollectible expense. The adjustment is based on the SAP's use of a three-year average uncollectible rate calculated using the period June 2016 to May 2019. The rebuttal testimony of the Company's Shared Services Panel discusses the Company's objection to this adjustment.

Q. Has the Company identified errors in the SAP's calculation of its proposed adjustment?

A. Yes. The Company found an error in SAP's uncollectible expense calculation. The error was caused by the SAP applying its proposed uncollectible rate to the Company's corrections and updates tariff

revenues at present rates, which reflected the availability of the NESE project. The SAP confirmed this error in its response to IR NG-06, which is included in Exhibit___(RRP-4R).

I. SIR Expense

Q. Does Staff recommend an adjustment to the Company's forecast of SIR expense?

A. Yes. The Staff SIR Panel (at 29) recommends a downward adjustment of $1.734 million. The rebuttal testimony of Company Witness Chuck Willard discusses the Company's objection to this adjustment.

J. Savings

Q. What level of savings is typically reflected in a rate filing?

A. Rate cases traditionally include a productivity adjustment on the premise that well-run companies should be able to find a modest measure of efficiencies in the rate year. The adjustment is typically calculated as one percent of total labor expense and payroll taxes in recognition of how difficult it is to achieve savings year after year. In this case, the traditional productivity adjustment would result in efficiencies totaling $2.020 million. The Company, however, has proposed to provide customers with more than $15 million in savings in the Rate Year – a level *more than*

seven times the traditional productivity adjustment. The SRRP asserts that $3.220 million of additional efficiencies should be imputed above this level. If the SRRP's position were adopted, this would equate to savings of more than nine times the traditional productivity adjustment, which is simply unrealistic and not supported.

Q. Will the level of savings reflected by the Company in the rate filing be difficult to achieve?

A. Yes. It is a challenge for any business to achieve a one percent efficiency reduction each year let alone seven times that number. In its filing, the Company committed to reduce its costs through an ambitious effort (the Accelerate Program), despite that many of the initiatives to achieve these reductions are difficult and potentially not sustainable. Indeed, the Company is working tirelessly to reduce its costs to mitigate bill impacts for customers while continuing to invest to assure reliability and advance our systems for the future.

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To reduce costs to the magnitude the Company proposes in this filing requires major changes to people, processes, and systems. This requires time and effort. There is a major risk that the savings will not be realized because competing priorities will distract from the Company's ability to

deliver the initiatives. For example, new work, changes in law, new regulatory requirements, changes in customer expectations, or major weather events could all impact the Company's ability to progress initiatives or deliver savings. Staff's filing further exacerbates this risk through their proposals to disallow costs that the Company will need to incur in the Rate Year to ensure the delivery of safe and reliable service.

Q. The SRRP asserts that savings associated with Implementation Level ("IL") 3 Accelerate Program initiatives should be imputed into the revenue requirement, contending that savings from these initiatives "have been identified and quantified," and been defined by the Company as "bankable" (at 56-57). Does the Panel agree?

A. No. While IL3 Accelerate Program initiatives have been assigned an initial estimate of potential savings, the estimate is aspirational as the business has not taken any of the steps that are necessary to implement the initiative. In IL3, the business develops a plan to implement an initiative. Until each step in the implementation plan has been completed, whether the initiative can be delivered and the savings ultimately achieved is unknown. As the Company explained in the response to IR DPS-755, "bankable" means that the Company is willing to invest the time and resources into pursuing the initiative, as the Company has limited

resources to dedicate to implementing initiatives. This does not mean that the initiative can actually deliver savings, however. There are risks that this initial estimate, which is really a placeholder to prioritize initiatives, may never materialize or may change materially. These risks include changes in assumptions as the initiative progresses, delays in implementation, or cancelation of the initiative because, despite the Company's efforts, the implementation plan could not be delivered (*e.g.,* a vendor may not be willing to provide a volume discount or a new contract to reduce costs could not be negotiated). Therefore, contrary to the SRRP's position, IL3 estimates are not quantified let alone known and measurable, which is the standard for inclusion in the revenue requirement. Rather, IL3 estimates are speculative and unidentified efficiency initiatives that are properly subsumed within the traditional productivity adjustment.

In the Panel's direct testimony, we explained the rigorous process undertaken to progress initiatives. Each initiative must pass through implementation levels ranging from IL0 (purely an idea) to IL5 (fully implemented), where they are scrutinized by groups from the Company's Finance, Regulation and Pricing, and Business Units, among others. It is not until IL4 where an initiative undergoes implementation. In IL4 the

business has completed the steps in its implementation plan that are a prerequisite to achieving benefits. The SRRP's proposal ignores this process that was implemented to provide transparency to the business and its regulators of the full amount of savings that were achieved, and the simple fact that initiatives in IL3 are entirely uncertain.

Q. The SRRP further asserts (at 58) that initiatives "move quickly through implementation levels, meaning initiatives currently at Level Three will soon be at Levels Four or Five, and thus, savings will likely accrue during the Rate Year." The SRRP also claims (at 57) that few IL3 initiatives are canceled. What is the Panel's response to these statements?

A. As explained in the response to IR No. DPS-755, initially, initiatives moved quickly through the various implementation levels because they were already in flight at the beginning of the Accelerate Program. However, that movement occurred during the earlier stages of the program. Now that the program is past the inaugural period, the movement of initiatives has slowed.

In addition, while the Company agrees that certain initiatives in IL3 can move to ILs 4 and 5 quickly, that movement depends on whether the

initiative can be easily implemented. With respect to the initiatives currently in IL3 for which the SRRP is proposing to impute the associated savings to the Company, on average, these initiatives have been in IL3 for more than 150 days – more than five times the 26 day average an initiative that can be easily implemented typically moves from IL3 to IL4. Given the length of time these initiatives have been stalled in IL3, it is highly unlikely these initiatives will progress to implementation and deliver the aspirational savings estimated.

Moreover, the response to IR No. DPS-758 provides the key milestones necessary to complete the implementation plans for the top ten IL3 initiatives impacting the Company. The response shows that key steps in at least five of the ten initiatives are either late or have not yet been planned. Further, in progressing Initiative No. 14707, it was determined that the scope of the initiative was similar to that of Initiative No. 15464. Therefore, Initiative No. 14707 was canceled. Similarly, the viability of Initiative No. 17509 is being questioned as the solution has not been piloted. These examples, along with the accumulation of aged initiatives currently in IL3, further demonstrate the inherent uncertainty surrounding IL3 savings estimates and the unreasonable of the adjustment.

Q. Are there additional challenges that impact the deliverability of IL3 initiatives in the Rate Year?

A. Yes. The revenue requirement proposed by Staff, which provides material disallowances to costs necessary to run the business, presents significant challenges. For example, Initiative Nos. 953 and 3600, two initiatives in IL3 that impact the Company, are contingent upon IT investments to deliver the planned savings. The SITP's proposal to disallow approximately $114 million of IT costs calls into question the ability of the Company to deliver these initiatives. If the SITP's recommendation is adopted, the Company will need to re-prioritize IT investments that could lead to the cancelation of these initiatives. Similarly, various Staff witnesses propose a litany of new reporting obligations in IT, customer, and gas operations, among other areas. This is incremental work that was not contemplated at the time the IL3 and other Accelerate Program initiatives were planned and will require the Company to re-valuate priorities, further challenging the Company's ability to progress IL3 and other initiatives.

Q. Are certain IL3 initiatives already captured in the revenue requirement?

A. Yes. As explained in the response to IR DPS-762, because the Company separately forecast facility-related projects, the savings from Initiative No. 3705 are captured in the revenue requirement. Additionally, the benefits from Initiative No. 24734 are embedded in the forecast of transportation expense.

Q. Did the Company already account for the possibility that IL3 initiatives may move to IL4 or IL5 for purposes of forecasting the revenue requirement?

A. Yes. The Company recognizes that IL3 initiatives may be delivered in the Rate Year. However, as explained above, the level of savings from these initiatives is uncertain. To account for the uncertainty associated with IL3 initiatives, the Company included a one percent productivity adjustment to capture the possibility that these initiatives may move to IL4 or IL5 in the Rate Year. Therefore, the SRRP's proposed imputation is a double count of the productivity adjustment already reflected by the Company.

Given the level of savings already reflected in the revenue requirement, it would have been reasonable for the Company to have foregone including a productivity adjustment. However, in the interest of mitigating bill impacts and full transparency, the Company believed it was appropriate to

include the productivity adjustment to account for the possibility that IL3 initiatives may be delivered in the Rate Year. In that regard, the one percent productivity adjustment is about half of the aspirational estimates in IL3 currently that impact KEDNY and KEDLI, which demonstrates the reasonableness of the Company's proposal. Additionally, the Company captured the IL3 initiatives a second way. Under its multi-year rate plan proposal, the Company included the full forecast of Rate Year savings and held those amounts constant across each of the Data Years (with inflation).

Q. Why is this significant?

A. It is significant because the Accelerate Program ends in the Rate Year. Therefore, the Company is assuming the risk that it can sustain this level of savings in future years. While the SRRP characterized the Company's proposal as "irrelevant" (at 56) because this effort does not impact the Rate Year, the Company's proposal would result in savings of more than $66 million through the term of the Company's proposed rate plan. Combined with KEDNY, the amount of savings proposed to be reflected for customers is more than $222 million. This is an unprecedented level of savings that is anything but "irrelevant" and fully captures potential IL3 initiatives for customers.

Q. Please summarize the Company's position concerning the SRRP's proposed imputation of the IL3 initiatives.

A. There is no reasonable basis for the Commission to adopt the SRRP's position. The SRRP's position is essentially built around the possibility that IL3 initiatives may move to IL4 and IL5. This is purely speculative, however, and the SRRP has provided no rationale basis for including unknown savings in the revenue requirement. The Company, at all times throughout this filing, has been transparent in the savings reflected. As the Company explained in the response to IR DPS-916, while many initiatives could arguably have been removed as one-time in nature, the Company included all initiatives in IL4 and IL5 to mitigate customer bill impacts. The $13.316 million in Accelerate Program savings plus the $2.020 million in productivity to capture the IL3 initiatives is reasonable and should be adopted. The Company should not be penalized by including preliminary savings estimates from initiatives that have not yet been delivered – and may never be. Rather, the Companies should be encouraged to be innovative and test concepts without the fear that preliminary and aspirational estimates will be held against them. The savings adjustments proposed by the SRRP would have a chilling effect on future savings programs that benefit customers.

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Q. The SRRP's recommends (at 52) removing the costs to achieve the Accelerate program savings. Does the Company agree with this recommendation?

A. No. The costs to achieve were incurred to deliver the forecast savings included in the case. It is therefore unreasonable to disallow those costs without also removing the savings. If it is truly the SRRP's position that the $0.132 million in costs to achieve reflected in the Rate Year should be disallowed, then the Accelerate Program savings delivered as a result of those costs should be removed. Indeed, this result would be completely consistent with positions taken by Staff in previous rate proceedings that the costs of new initiatives should not be reflected in rates if the savings are not included.

Q. The SRRP also recommends (at 50) an adjustment to reflect the latest known savings projections associated with IL4 and IL5 initiatives and reflect the savings associated with two initiatives that were inadvertently not included in the Company's corrections and updates filing. What is the Company's position with respect to these two adjustments?

A. The Company agrees with these two adjustments.

K. Economic Development

Q. Does Staff propose any adjustments to the Company's Economic Development program costs?

A. Yes. The rebuttal testimony of the Company's Future of Heat Panel responds to Staff's proposed adjustment as well as program changes recommended by the Staff Consumer Services Panel ("SCP").

V. Taxes Other Than Income Taxes

A. Property Taxes

Q. Please explain Staff's adjustments to KEDLI's property taxes.

A. The SAP recommends (at 34-35) use of a three-year average growth rate based on calendar year data instead of the two-year growth rate based on fiscal year data recommended by the Company. The rebuttal testimony of the Company's Shared Services Panel responds to this adjustment.

Q. Does Staff propose any additional recommendations relating to property taxes?

A. The SAP recommends (at 38) elimination of the property tax reconciliation mechanism, asserting "there is no need to allow for a property tax reconciliation in a one-year rate case." The Company disagrees with this recommendation. As discussed by the Shared Services

Panel, eliminating the property tax reconciliation would place undue risk on customers and the Company even in a one-year case.

B. Payroll Taxes

Q. Does the Company agree with Staff's adjustment to payroll taxes?

A. The Company agrees that payroll taxes should be adjusted to reflect the labor adjustments adopted in this proceeding. Staff's adjustment, however, reflects labor adjustments that the Company disagrees with, as discussed above.

VI. Federal Income Taxes

Q. How did the Company propose to reflect the amortization of the annual Excess Deferred Income Tax ("EDIT") for the unprotected plant and non-plant balances resulting from the Tax Cuts and Jobs Act in the rate filing?

A. The Company proposed to amortize the balances over 47 years in accordance with the manner in which protected EDIT was amortized under the Average Rate Assumption Method ("ARAM") required by the Internal Revenue Service normalization rules.

Q. What is Staff's position on this issue?

A. The SAP (at 46) rejects the use of the ARAM and instead proposes a 10-year amortization period for the unprotected plant and non-plant balances. The proposal is premised upon that use a shorter period will more rapidly reduce the revenue requirement and return the tax benefits to customers quicker rather than any analysis.

Q. Does the Company agree with the SAP's use of a 10-year amortization period?

A. No. The Company believes the amortization period should match the service life of the asset. If the unprotected EDIT is returned to customers over 10-years, as proposed by the SAP, there would be a mismatch for over 30 years in which customers would receive benefits before the Company receives the cash benefits. Moreover, if the SAP's proposal is adopted, future changes to tax rates could result in the Company having to collect money from customers that it previously returned. For these reasons, the Company submits that its proposal to align the amortization life with the reversal of the temporary differences is more equitable and in the best interests of customers.

VII. Regulatory Assets and Liabilities

A. Deferral Balances

Q. What is Staff's position regarding the Company's proposed treatment of legacy deferral balances?

A. The SAP agrees (at 41-42) with the Company's proposal to net together several inactive deferral accounts (identified in Table 7 of the Panel's direct testimony) and create a single account with a credit balance of approximately $12.9 million, indicating that these accounts have been audited.

Q. Does the Company agree with the SRRP's (at 67) proposal to amortize the regulatory liability balance amounts associated with gas safety negative revenue adjustments, unexpended energy efficiency funds, and unexpended economic development funds?

A. Although in principle the Company is not against using a portion of regulatory liabilities to offset gas safety, energy efficiency, and economic development programs costs, the Company is concerned about how much of the balance should be used. The Company has on its books a significant regulatory asset balance that is not being proposed to be recovered from customers. Therefore, the Company believes a balance must be struck between the appropriate level of regulatory liabilities to use now and future rate mitigation efforts. The rebuttal testimony of the Company's Gas Safety Panel and the Future of Heat Panel provide

additional testimony addressing the SRRP's proposal.

Q. Does the Company have anything else to add regarding gas safety negative revenue adjustments?

A. Yes. The Company disagrees with the statement in the testimony of the Staff Pipeline Safety Panel (at 40) that the Company missed the Damage Prevention metric in 2018 resulting in a negative revenue adjustment. The Company's Gas Safety Panel discusses the Company's specific objection to Staff's assertion in its rebuttal testimony. While it does not appear that the SRRP has included the alleged negative revenue adjustment in the balance that it is proposing to amortize, the Company's position is that it did not miss the metric and did not incur a negative revenue adjustment.

B. <u>New and Existing Deferrals</u>

Q. Does Staff recommend any changes to the new deferrals or the modifications to existing deferral mechanisms proposed by the Company?

A. Yes. Various Staff witnesses propose removing or modifying many of the new and existing deferrals. The Company's position is discussed in the rebuttal testimonies of the GIOP, IT, Shared Services, and Future of Heat Panels and Company Witness Christopher Connolly.

Q. Does Staff recommend any new deferral mechanisms?

A. Yes. In addition to the downward only new hire deferral discussed above, various Staff panels recommend a number of new deferrals. The rebuttal testimony of the Company's GIOP, IT, Shared Services, and Future of Heat Panels respond to Staff's proposals.

C. Earnings Sharing Mechanism

Q. The Staff Policy Panel ("SPP") recommends (at 12-14) that the Commission establish an Earnings Sharing Mechanism ("ESM") for the Companies for each 12-month period following the Rate Year. Does the Panel agree with this recommendation?

A. No, we do not. ESMs are typically a feature of multi-year rate plans that are submitted to the Commission as joint proposals that reflect the broad agreement of most, if not all, parties to Commission rate proceedings. It is our understanding that the Commission only recently imposed an ESM in a litigated one-year rate proceeding. From our perspective, imposing ESMs in litigated cases would be poor regulatory policy in that it would discourage the Companies from finding ways to manage their businesses in a manner that minimizes the need for time consuming and expensive rate proceedings. Moreover, the SPP's ESM recommendation essentially

requests the Commission to impose a mechanism that would confiscate a portion of the Companies' earnings without making a finding as to what a just and reasonable ROE would be in years beyond the Rate Year or conducting the process that is typically followed in establishing utility rates.

Q. Please explain.

A. In this case, the Commission is setting rates that it will determine to be just and reasonable for a Rate Year beginning April 1, 2020 and ending March 31, 2021. Among the decisions being made is the appropriate ROE that should be applied to the Company's rate base during this period. As the Commission is aware, the just and reasonable ROE changes over time. However, if this case is litigated, the Commission will make no finding as to what the appropriate ROE for the Company will be for any period beyond the Rate Year. At the same time, however, under the SPP's ESM mechanism in years beyond the Rate Year, the Company could be required to forfeit a portion of its earnings regardless of whether those earnings would, depending on capital market conditions at the time, be no greater than the amount needed to enable the Company to earn a compensatory ROE. Such a result would be procedurally defective and substantively confiscatory.

The Commission has the ability under the Public Service Law to monitor the Company's earnings and take appropriate action to the extent that it believes that the Company's rates are producing excessive returns. There is no need for the Commission to impose an ESM to ensure that rates remain just and reasonable and it is quite possible that the results of imposing such a mechanism would not be just and reasonable. For these reasons, the SPP's ESM recommendation should be rejected.

VIII. Rate Base

A. Net Plant and Depreciation Expense – Plant in Service Model

Q. How did Staff forecast the Company's net utility plant in service and depreciation expense?

A. Staff used the Company's plant in service model and applied its proposed capital plan adjustments, flow-through adjustments for cost of removal, and depreciation rates to the model.

Q. What is the rate base and depreciation expense impact of Staff's proposed forecast?

A. Staff's proposed adjustments, in total, decrease the Company's Rate Year net utility plant in service by $151.692 million and depreciation expense

by $12.304 million.

Q. Does the Company agree with Staff's proposed adjustments to net utility plant in service and depreciation expense?

A. No. The Company's GIOP responds to Staff's proposed adjustments to the Company capital plan, while Company Witness Paul M. Normand addresses Staff's proposed depreciation rates.

Q. Did the Company identify any errors in Staff's net utility plant and depreciation adjustments reflected in Exhibit ___ (SRRP-1)?

A. Yes. In reviewing Staff's adjustments, the Company identified the following three errors:

(i) Staff double-counted the adjustments to exclude the NESE project in Exhibit ___ (SRRP-1).

(ii) Staff did not correctly reflect the capital adjustments described in their testimony in Exhibit ___ (SGIOP-4). In some instances, Staff described an adjustment in testimony, but Exhibit ___ (SGIOP-4) did not reflect the adjustment. In other cases, there were adjustments in the exhibit that were not discussed in testimony.

(iii) Staff did not correctly reflect the capital adjustments described in testimony and in Exhibit ___ (SGIOP-4) in the net utility plan and

depreciation forecast that ultimately was included in Staff's revenue requirement presentation in Exhibit ___ (SRRP-1).

Q. Did Staff agree with these errors and, if so, what corrections are required to Staff's adjustments to Rate Year net utility plant and depreciation expense?

A. Staff agreed with the errors noted above in the responses to IRs NG-10 and NG-12. These corrections change Staff's proposed Rate Year net utility plant and depreciation expense downward adjustments from $151.7 million and $12.3 million to $101.3 million and $11.8 million, respectively.

B. <u>Earnings Base/Capitalization/Working Capital Adjustment</u>

Q. The SRRP also proposes (at 92-95) removing from rate base a $3.368 million regulatory asset for KEDLI associated with the cost sharing account because such costs are already reflected in the Earnings Base/Capitalization ("EB/CAP") adjustment. Do you agree?

A. No. The regulatory asset associated with the cost sharing agreement was included in rate base in determining the Historic Test Year EB/CAP adjustment. It is inconsistent for the SRRP to remove the regulatory asset from the forecast but not from the EB/CAP adjustment. The SRRP

acknowledged that this should be the case in its response to IR NG-19 which is included in Exhibit (RRP-4R). Making the appropriate adjustment to the EB/CAP calculation eliminates any revenue requirement impact of Staff's proposed adjustments.

IX. Flow-Through Adjustments

Q. Has the Company reflected any additional flow-through adjustments in its revenue requirement?

A. Yes. Changes to O&M expense have an impact on working capital requirements. Additionally, any change in rate base results in a change to return on rate base. Moreover, there are flow-through adjustments for productivity, payroll taxes, uncollectible expense, income taxes, and deferred taxes. The flow-through adjustments are reflected in Exhibit ___ (RRP-1R).

X. Conclusion

Q. Does this conclude the Panel's rebuttal testimony?

A. Yes.